

MODEL QUESTION PAPER - I**Financial Market**

[Time: 3 hours]

(Maximum marks: 75)

PART: A

Answer all questions. Each question carries one mark

9X1 = 9 Marks

1	Regulator of money market is -----	M 4.01	R
2	Oldest stock exchange in India is -----	M 2.01	R
3	Match the following a) BSE b) Stock exchange c) Bear d) jobber a) Pessimistic speculator b) member in stock exchange c) SENSEX d) Secondary market	M 2.01	R
4	SEBI stands for -----	M 4.03	R
5	Options are ----- instrument	M 3.04	R
6	primary market is also known as ----- a) New issue market b. Stock exchange c. Right issue market d. None of these	M1. 03	R
7	On behalf of government-----bill is issued by RBI	M 3.04	R
8	 Is a preferential independent broker who deals in securities on his own behalf? a. Jobber b. sub broker c. Remisiers d. Arbitragers	M2.02	R
9	_____ encompasses all institutions dealing in fresh issues. a)primary market b) Secondary market c)Money market d)Capital market	M1. 04	R

PART: B

Answer any eight questions from the following. Each question carries 3 marks.

(8x3=24)

1	Explain the functions of stock exchange	M 2.01	U
2	Explain the importance of capital market	M 1.02	U
3	Explain difference between money market and capital market	M 3.02	U
4	Describe the kinds of issue in primary capital market	M1.04	U
5	Explain the objectives of NSE	M2.02	U
6	Mission Ltd. is a large creditworthy company that manufactures coaches for the Indian Railways and the company decides to tap the money market for short term finance. Identify and explain the features money-market instruments the company can use for the above purpose?	M 3.04	A
7	Explain SEBI guidelines for issue of fresh capital	M4.04	U
8	State the features of money market	M3.01	R
9	Explain role of financial intermediaries in financial market	M4.05	U
10	PQR, a partnership firm wishes to become a member of stock exchange 1) Can a partnership firm become a member of stock exchange? 2) If yes, identify the eligibility criteria of membership in stock exchange?	M 2.03	A

PART: C

Answer all questions from the following. Each question carries 7 marks.

6X7 = 42 Marks

III	Explain various capital market instruments?	M 1.02	U
	OR		
IV	Compare primary capital market and secondary capital market?	M1.03	U

V	Shareholders in India were facing a lot of problems in handling the paper-based certification. But nowadays there are no such difficulties because the new system eliminates paper work, facilitates automatic and transparent trading in scrips. Identify the new system and its features?	M 2.05	A
	OR		
VI	Mercy, a computer operator of a private firm, wishes to buy some shares from stock exchange. 1) Can she buy shares directly from the stock exchange? State the reason. 2) Identify the procedure for buying of securities in stock exchange?	M 2.03	A
VII	Explain features of forward derivative instrument.	M 3.04	U
	OR		
VIII	Describe the role of DFHI in money market	M 3.03	U
IX	Explain the merits and demerits of listing of securities	M 2.03	U
	OR		
X	Describe bull, bear, stag and lame duck	M 2.04	U
XI	Describe various money market instruments	M 3.04	U
	OR		
XII	Explain features of foreign exchange market	M 3.06	U
XIII	Explain the powers of SEBI?	M 4.03	U
	OR		
XIV	Describe various types of financial intermediaries	M 4.06	U

MODEL QUESTION PAPER - II**Financial Market**

[Time: 3 hours]

(Maximum marks: 75)

PART: A

Answer all questions. Each question carries one mark

9X1 = 9 Marks

1	The market for extremely short period loan is called..... a. call money market b. money at short notice c. T-bill market d. G-sec market	M 3.04	R
2	capital market deals with ----- instrument	M 1.02	R
3	Match the following a) Money market a) derivative instrument b) commercial paper b) short term market c) swap c) government security d)gilt edged security d) issued by creditworthy company	M 3.04	R
4	Bull speculators are also known as-----	M 2.04	R
5	When was RBI constituted? a)April 1, 1935 b) march 1, 1935 c) May1, 1935 d) June 1, 1935	M 4.01	R
6	The objectives of SEBI include -----. (a) To protect interests of inventors (b) To regulate securities market (c) To promote the development of the market (d) All of the above	M 4.03	R
7	An option (right) to sell shares in future at predetermined price is called a. Hedging b. Put option c. Pull option d. Call option	M 3.04	R
8	IPO stands for _____ a) Initial Preference Offering b) Initial Private Offering c) Initial Price Organization d) Initial Public Offering	M 1.04	R
9	SENSEX is the index of -----	M2.02	R

PART: B

Answer any eight questions from the following. Each question carries 3 marks.

(8x3=24)

1	Explain components of Indian financial system	M 1.01	U
2	Describe SEBI guidelines for secondary market	M4.04	U
3	Ramesh buys a financial asset from the RBI. This financial asset is an instrument of short term borrowing. He has bought it because he doesn't want to take risk and wants an assured return. Which financial asset is indicated in the above case and states its features?	M 3.04	A
4	State the characteristics of financial market	M1.01	R
5	Explain advantages of online trading of security.	M 2.05	U
6	Mr. Sanjay was the Chairman of HBM Bank. The bank was earning good profits. Shareholders were happy as the bank was paying regular dividends. The market price of their shares was also steadily rising. The bank was about to announce taking over the 'Vena Bank.' Mr. Sanjay knew that the share price of HBM Bank would rise on this announcement. Being a part of the bank, he was not allowed to buy shares of the bank. He called one of his rich friends Sudhir and asked him to invest Rs.5 crores in shares of his bank promising him the capital gains. As expected, the share prices went up by 40% and the market price of Sudhir's shares was now? 7 crores. He earned a profit of Rs. 2 crores. He gave Rs. 1 crore to Mr. Sanjay and kept Rs. 1 crore with himself. Identify the situation and comment on it?	M 2.04	A
7	State the objectives of RBI	M 4.01	U
8	Write a note on 1) certificate of deposit 2) commercial paper 3) call money and notice money	M 3.04	U
9	State the objectives of BSE	M2.02	U
10	Explain types of capital market	M 1.02	U

PART: C

Answer all questions from the following. Each question carries 7 marks.

6X7 = 42 Marks

III	Explain functions of capital market?	M 1.02	U
IV	OR State the merits and demerits of equity shares	M 1.03	U
V	Describe the members of stock exchange	M 2.03	U
VI	OR Explain speculation and also state the difference between speculator and investor	M 2.04	U
VII	Market risk and volatility are an integral part of the market, and the main motive of investors is to make profits. But there is a technique which provides a means for traders and investors to mitigate market risk and volatility. It minimizes the risk of loss. Identify that technique and state its advantages?	M 3.05	A
VIII	OR A financial Instrument which derive its value from value of an underlying asset. Market for this instrument is existing around the world and receives much attention in the financial and mainstream media. Hence, they are relatively familiar not only to financial experts but also to the general population identify the instrument and state its features?	M 3.04	A
IX	Explain procedure for buying and selling of securities through Demat account	M 2.05	U
X	OR Describe eligibility criteria for membership of stock exchange 1.for individuals 2.for Corporate	M 2.03	U

XI	State the features of option and swap OR	M 3.04	U
XII	Write a note on 1. Commodity Markets 2. Gilt edged securities 3. Foreign exchange market.	M 3.06	U
XIII	Explain functions of SEBI OR	M4.02	U
XIV	Explain the role of RBI in money market?	M4.01	U